WRDS Overview of Compustat North America, Global, & Bank Data

This overview covers the North America, Global, and Bank databases. Though best known for their fundamentals, these databases also have stock prices, index prices and other financial data.

Introduction

The North America, Global, and Bank databases are all set up the same way. Only the content differs. In the Compustat NA package, about 94% of the companies are incorporated in USA or CAN (FIC is either USA or CAN), leaving about 6% "foreign" companies, almost all of which would be registered with the SEC. The Compustat Global package excludes US and Canadian companies. Compustat Bank covers deposit-taking commercial banks such as JP Morgan and Wells Fargo. Other financial institutions such as Goldman Sachs are in the North America database.

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Coverage

Compustat Fundamentals provides standardized financial items covering income statement, balance sheet, cash flow etc. for all public companies, both active and inactive companies. The SEC defines `public` companies, which include those issuing stock on exchanges (`publicly traded` companies) and other companies meeting certain criteria.

The North America product begins in 1950, and the Global product in 1987.

Table 1: Compustat Fundamentals Annual Coverage (As of Nov 2023)

Product	Date range	Number of items	Number of active companies	Number of inactive companies
Compustat North America	30JUN1950-present	900+	13,360+	30,000+
Compustat Global	30JUN1987-present	400+	39,930+	18,410+
Compustat Bank	31DEC1955-present	400+	590+	1,790+

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Data Collection Process

Compustat primarily draws its **data from SEC filings**, which it standardizes to allow for better comparisons. It is supplemented with additional data sources as needed. For a North American company to be added to the database, it must file distinct 10K's or 10Q's with the SEC.

Database additions and the speed of processing new filings are prioritized accordingly:

1. **Companies with an equity security** that are included in the S&P 500, S&P 400, S&P 600, S&P/TSX Composite, or Russell 3000 indices.
2. Companies with an equity security and are **actively trading** on the NYSE, AMEX, NASDAQ, TSX, or NYSE/Arca exchanges.
3. Selected **high-profile, red-herring IPO and Pro-Forma** filings.
4. **Companies requested by clients** which have active market activity as evidenced by prices, turnover, or timely disclosure of business and financial information materials affecting listed issues.

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Dataset Organization

File Location Description

The table below lists the most common Compustat products, as well as their respective SAS / Postgres and Unix locations. For further information, visit the individual product pages on the WRDS website.

Table 2: Data Locations

Product	Primary SAS Libname and Postgres schema	Alternate SAS Libname	Unix Location
North America - daily update	comp	compd	/wrds/comp/sasdata/d_na
Global	comp	compg	/wrds/comp/sasdata/d_global
Bank	comp	compb	/wrds/comp/sasdata/d_bank

The full, up-to-date dataset list can always be found here: S&P Global Market Intelligence

Datasets Created by WRDS

The North America, Global, and Bank products have **very similar designs**. **Each has one or more subdirectories** to help organize the data into topic areas such as company information, security information, and more.

At the top level, there are several **tables created by WRDS that combine** the most important raw data tables with identifying information. Though this process of denormalization requires more disk space, it also makes the data much easier to use. It is primarily these WRDS-created tables that appear on the WRDS website. Compustat also provides hundreds of raw data tables, which are available in SAS and Postgres.

North America and Global also contain security information, which we have combined into daily (`SECD`) and monthly (`SECM`) datasets.

The **primary annual dataset** is named `FUNDA` (or `g_FUNDA` for Global, `bank_FUNDA` for Bank), the primary quarterly dataset is `FUNDQ.`

You can read more about how the data files are generated below:

`funda`:

- Fundamentals Annual

`funda_fncd`:

- Fundamentals Annual Footnotes and codes

`fundq`:

- Fundamentals Quarterly

`g_fundq_fn`:

- Fundamentals Quarterly Footnotes and Codes

`g_funda`:

- Global Fundamentals Annual

`g_funda_fncd`:

- Global Fundamentals Annual Footnotes and Codes

`g_fundq`:

- Global Fundamentals Quarterly

`g_fundq_fn`:

- Global Fundamentals Quarterly Footnotes and Codes

`bank_funda`:

- Bank Fundamentals Annual

`bank_funda_fncd`:

- Bank Fundamentals Annual Footnotes and Codes

`bank_fundq`:

- Bank Fundamentals Quarterly

`bank_fundq_fn`:

- Bank Fundamentals Footnotes

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Linking

Identifiers Used

For Compustat products **GVKEY** is the permanent identifier associated with the entire history of a company. `GVKEY`s do not change, nor are they reused. In the case of mergers and acquisitions, the `GVKEY` of the acquiring or surviving company continues to be used while the other is set to inactive and remains in the dataset.

Also available for Compustat products are **CUSIP**, **CIK**, and **Ticker Symbol** identifiers for North America companies and **SEDOL** and **ISIN** for Global companies. In contrast to the `GVKEY, CUSIPs, CIKs`, and `ticker` are not as permanent as the GVKEY, and they can change for other corporate action reasons. Lastly, while the Ticker symbol is easy to remember, please note that it changes frequently and is reused over time.

`CUSIP, CIK,` and `ticker` (in that order) are **useful for linking** to other databases. It is important to note that all three are header variables, so only the most recent value is retained. In fact, all variables in the Company and Security tables are header variables. These variable will allow you to view only the most recent company name, address, and more. Keep this in mind when attempting to link with other databases and tracking companies over a period of time.

To retrieve a unique observation, searching by the `gvkey-year` combination will not be sufficient. You will need to use additional screening variables, including the following:

- **Consolidation Level:** Describes whether parent and subsidiary accounts are combined.
- **Industry Format:** Indicates whether a company reports in Financial Services or Industrial Format. This must be checked when using the query form on the WRDS website in order to retrieve any financial services firms (e.g. banks). It is possible for a company to have information in both formats, which can lead to double-counting. By default both formats are checked.
- **Data Format:** `STD` annual rows are unrestated and quarterly rows are restated. `SUMM_STD` annual rows come from the summary tables in an annual report and will contain any restatements. Companies typically include up to 10 previous years in these summary tables, and so there will typically be up to 10 years of `SUMM_STD` rows, after which they are dropped from the database. The `STD` (as initially reported / unrestated) rows remain permanently. Unrestated quarterly data can be found in a separate product, named "Unrestated

Quarterly".

- **Population Source:** Domestic (including Canadian companies and ADRs) or International.
- **Fiscal** / **Calendar view:** Since companies may designate any month as their fiscal year-end, this variable allows the researcher to select quarter 1, for example, as either January - March or the first three months of the company's fiscal year, which may not be the same.

For example, the following primary keys are used for fundamental annual data:

- `GVKEY`
- `DATADATE`
- `INDFMT`
- `DATAFMT`
- `CONSOL`
- `POPSRC`

Note: For `g_FUNDA`, `POPSRC` always equals to 'I' and `DATAFMT` is always `HIST_STD`. In `bank_FUNDA`, `POPSRC` is equal to 'D' and `INDFMT` is always `BANK`.

A researcher must either use all six keys to uniquely identify records in many tables or screen out the extra records. Screening on `INDFMT='INDL'` (`INDFMT='BANK'` for `bank_FUNDA`), `DATAFMT='STD'`, `POPSRC='D'`, and `CONSOL='C'` will keep the vast majority of records. It will also allow for unique identification using `GVKEY-DATADATE`. For a detailed explanation, refer to Chapter 4 of Compustat's "Using the Data" guide.

The query form on the WRDS website **defaults to Consolidated, Industrial + Financial, STD, Domestic, Fiscal rows**.

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Database Notes

General

Compustat has **an excellent track record of data quality**. WRDS staff and the research community have reported very few mistakes throughout the years. The value-added datasets created by WRDS (e.g. `FUNDA`) were developed to highlight the most important tables and aggregate them into a single table.

`Ticker` and `CUSIP` are security level identifiers in Compustat, although many researchers use them to identify the company. WRDS selected the `ticker` and `CUSIP` of the primary security (as defined by Compustat) to appear in the `FUNDA` and `FUNDQ` tables.

As with most databases, **tracking companies over time can be a challenge**. This is especially true when an acquisition is followed by a name change. For example, when Kmart acquired Sears, the surviving company became Kmart. However the surviving company then changed its name to Sears, and so the Kmart name disappeared from the database. This scenario will occur in any database that does not maintain historical company names and identifiers.

Missing Values

WRDS removes variables that are entirely null before the data is presented to researchers.

Some of the variables are not well populated. This happens quite often in the Compustat Global table. Please check the corresponding data code first and then contact S&P directly to find out the reason for each individual case.

SIC Requirement for Banks in the Compustat Bank Database

Banks must have **one of the SIC codes** listed below in order to be part of the bank_packages:

- 6020: Commercial banks
- 6021: National commercial banks
- 6022: State commercial banks
- 6029: NEC Commercial Banks
- 6035: Savings institutions, Fed-chartered
- 6036: Savings institutions, not Fed-chartered

Goldman Sachs is excluded because of the above criteria.

About FUNDQ (BANK_FUNDQ)

Quarterly data, known as `fundq`, has been dispersed between 3 interim tables: `co_ifndq`, `co_ifndsa`, `co_ifndytd`. Balance Sheet and Cash Flow data are only available in the `co_ifndq`and `co_ifndytd` tables respectively. Income Statement data is in all 3 interim tables.

Bank Quarterly data (`bank_fundq`) has been dispersed between 2 interim tables: `bank_ifndq`and `bank_ifndytd`. Balance Sheet and Cash Flow data are only in the `bank_ifndq` and `bank_ifndytd` table tables respectively, whereas Income Statement data can be found in both tables.

Compustat includes both **fiscal and calendar year-based data**. When a company changes fiscal year end (`FYR`), multiple records will appear for the same `GVKEY-DATADATE`. To view as calendar data, select records where `DATACQTR` is not null. To view as fiscal data, select records where `DATAFQTR` is not null.

Canadian Companies

Fundamental information for Canadian companies are included in the North America product but they **do not** appear in the Global tables. The information is presented in their native currency - Canadian dollars. `CURCD` is an historical variable that identifies the reporting currency for a company at each time period.

Currency Translation

In Compustat NA, **`CURCD` identifies the currency** in which the company's financial data is available in the Compustat database. When this item is not equal to `CURNCD`, Compustat has translated the data from `CURNCD` to `CURCD` using the translation rate found in `CURRTR`.

In Compustat Global, `CURCD` represents the currency that the company's financials are reported in. `CURNCD` only applies to data residing in the North America database, and is completely null throughout the Global database; in response, we removed the variable from Global.

Please **refer to chapter 5** of the article "Using the Data" on how to translate currencies. **Translating currencies is a two-step process**, where one must 1) convert any currency to British pounds, then 2) convert British pounds to the currency needed. In order to accomplish this, use the Exchange Rate Daily (`EXRT_DLY`) or Monthly (`EXRT_MTH`) tables.

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Other Resources

Compustat Global: The Basics

Fama-French SMB and HML | 1. Book-Equity

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